

Truen 417790

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by

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			2026	2027
Price:	6,400.00	EPS	0	0
Shares Out. (in M):	11	P/E	5	0
Market Cap (in \$M):	48	P/FCF	5	0
Net Debt (in \$M):	-50	EBIT	0	0
TEV (in \$M):	-2	TEV/EBIT	0	0

Description

Korean budget air pocket mistaken for structural top line impairment, with market trading this high quality niche business (>30% RoIC ex cash, c.27% OPM) down to zero enterprise value, with revenue reacceleration underway and ongoing share buybacks.

Introduction

Truen is the leading supplier (~40% share) of edge AI surveillance cameras to Korea's public procurement 'smart' CCTV market. The business has no debt and sits on a cash balance of KRW71bn (\$50m), 4% above its mkt cap of KRW68bn (\$48m). The business remains highly cash generative, with L12M FCF yield over mkt cap at 20%. So why the punitive valuation? Following a 10 year stretch of growth ('15-'25 ~15% CAGR), in 2025 the top line started to decline sharply for the first time since the 2023 listing, bottoming at -21% YoY in the Mar-26 quarter. Despite stable margin performance through this drawdown (1H26 OPM 25% vs 26.5% 1H25), the market has taken the stock down to negative EV territory, pricing in both permanent structural impairment to the operating business whilst discounting access to the cash in traditional small cap Asian fashion.

On both counts I think the market is misreading the situation. On the top line trajectory, the decline seems more likely to be caused by an air pocket in the Korean budget, coinciding with the Dec 2024 martial law fiasco and related budget paralysis that ensued. The business just released 2Q26 on 13th Aug, printing sales +14% YoY, growing for the first time in 5 quarters, showing the signs of recovery we would expect to start to see as the 2026 budget, the first expansionary budget in four years, filters through to municipal coffers. Looking forward, the ministry of interior has an active mandate to convert all municipal CCTV to AI monitoring by 2027, an upgrade cycle Truen is well positioned for.

Regarding the risk of trapped cash, in Dec 2025 the business cancelled its 5% treasury share holdings, before initiating a KRW3bn buyback (up to 3.4% shares), running until 14th Dec 2026. There is also an annual dividend of c.3-3.5% yield vs mkt cap. Shareholder distributions thus total c.7% annually on current run rate. Set against the backdrop of the value up initiatives in Korea gaining traction, these are small but positive steps in the right direction.

Effectively this is a 'heads I win, tails I get the cash' type bet. I think the fact pattern suggests the business likely inflects upward from here and buybacks continue / accelerate, but given the starting point from negative enterprise value, I don't think you need a terribly precise view on the future for the investment to work.

Business overview

Founded in 2005 by current CEO Ahn Jae-cheon (top shareholder with 26%). Today the core business (~80% sales) designs and manufactures edge AI enabled video surveillance cameras, primarily for the local government domestic market. Over time they've successfully evolved with the technology, starting out as a video servers business, before then taking a bet on building IP cameras with embedded video analytics & edge AI being the future direction of the industry. This bet paid off, with the mix of tenders for smart edge AI devices increasing over time, estimated today at 20-40% of the market. While there appears runway left in this transition, the company is now setting its sights on the next evolution towards a software analysis layer, developing an inhouse 'AI events manager' that will analyse the data collected across the cameras to detect and flag various events or patterns of behaviour (loitering, falls, fires etc).

Two critical points to understand about the Korean surveillance procurement process:

1 SME protected lock in – shuts out scaled domestic competition

Video surveillance devices are a designated SME competition product, meaning public purchases below certain thresholds are reserved for SME Korean manufacturers. This designation has shut Hanwha Vision out of the municipal tender process, leaving them focused on the US and domestic enterprise markets to drive revenues. It has also largely blocked IDIS from participating once it outgrew SME status. SME threshold set at trailing 3 year average revenues of KRW100bn, roughly double Truen's current business.

2 Security certification qualified status – shuts out Chinese low cost producers

Since March 2023, the National Intelligence Service guidelines make TTA public-institution security certification mandatory for video-surveillance equipment procured by state bodies, municipalities and public institutions. Chinese businesses generally struggle to make the security requirements for the certification.

The combination of the above effectively walls off Truen's market to larger more sophisticated domestic competition and foreign producers at lower cost and margins, going some way to explain the unusually high RoIC and margins for a predominantly hardware business.

On the International side of the core IP camera business, Truen is benefiting from a greater number of International mandates who prioritise non Chinese suppliers for national security reasons. Specifically, the US National Defense Authorization Act (NDAA) restrictions on Chinese producers are expanding the overseas public-market opportunity, and Truen has launched an Ambarella SoC based product abroad, plus a Hailo co-developed edge AI 'TA series' that has received a Japanese purchase order and gone into mass production. The overseas expansion is helpful evidence of competitiveness without the SME and Korean domestic protections, whilst also providing another tailwind to support growth.

The remaining 17% of the business, labelled 'IoT (internet of things) devices', refers to their Egloo product, Truen's consumer-facing AI smart-home brand. Egloo predominantly sells home cameras, used for baby monitoring, security, video doorbells etc. Business model is to sell hardware plus an optional paid cloud video-storage subscription through their Egloo app. The strategic differentiation is trust: unlike most competing products made via OEM outsourcing, Egloo is developed and run entirely in-house in Korea, aimed at the persistent hacking concerns around Chinese home cameras.

Segment sales

Financials		Dec-21A	Dec-22A	Dec-23A	Dec-24A	Dec-25A
		12m/e	12m/e	12m/e	12m/e	12m/e
Export	KRWm	980	1,757	1,617	3,103	4,123
Domestic	KRWm	28,740	30,062	37,818	40,808	33,340
IP camera	KRWm	29,720	31,820	39,435	43,910	37,463
Export	KRWm	2,595	2,512	2,291	1,952	1,600
Domestic	KRWm	619	584	679	429	412
Video streaming solution	KRWm	3,214	3,096	2,970	2,381	2,012
Export	KRWm	599	47	670	66	1,850
Domestic	KRWm	1,858	3,237	3,521	6,223	6,254
IoT devices and solutions	KRWm	2,457	3,283	4,190	6,289	8,104
Export	KRWm	52	-	15	9	22
Domestic	KRWm	537	633	564	1,011	1,513
Other	KRWm	589	633	579	1,020	1,535
Export	KRWm	4,227	4,316	4,594	5,130	7,594
Domestic	KRWm	31,753	34,516	42,581	48,472	41,520
Total sales	KRWm	35,980	38,832	47,175	53,601	49,114
Export	%		79%	(8%)	92%	33%
Domestic	%		5%	26%	8%	(18%)
IP camera	%		7%	24%	11%	(15%)
Export	%		(3%)	(9%)	(15%)	(18%)
Domestic	%		(6%)	16%	(37%)	(4%)
Video streaming solution	%		(4%)	(4%)	(20%)	(16%)
Export	%		n.m.	n.m.	n.m.	n.m.
Domestic	%		74%	9%	77%	1%
IoT devices and solutions	%		34%	28%	50%	29%
Export	%		n.m.	n.m.	(42%)	146%
Domestic	%		18%	(11%)	79%	50%
Other	%		7%	(8%)	76%	50%
Export	%		2%	6%	12%	48%
Domestic	%		9%	23%	14%	(14%)
Total sales YoY	%		8%	21%	14%	(8%)

P&L

Financials		Dec-21A	Dec-22A	Dec-23A	Dec-24A	Dec-25A	Jun-23A	Sep-23A	Dec-23A	Mar-24A	Jun-24A	Sep-24A	Dec-24A	Mar-25A	Jun-25A	Sep-25A	Dec-25A	Mar-26A	Jun-26A
		12m/e	12m/e	12m/e	12m/e	12m/e	3m/e	3m/e	3m/e	3m/e	3m/e	3m/e	3m/e	3m/e	3m/e	3m/e	3m/e	3m/e	3m/e
Revenue	KRWm	35,980	38,832	47,175	53,601	49,114	12,324	12,759	14,308	9,236	15,081	13,465	15,820	9,891	14,633	11,341	13,249	7,818	16,666
Cost of sales	KRWm	(18,808)	(21,562)	(26,288)	(27,678)	(25,163)	(6,799)	(7,382)	(8,021)	(4,930)	(8,012)	(6,690)	(8,046)	(5,038)	(7,838)	(5,582)	(6,705)	(3,941)	(9,115)
Gross profit	KRWm	17,172	17,270	20,887	25,924	23,951	5,525	5,377	6,287	4,306	7,069	6,774	7,774	4,853	6,795	5,759	6,544	3,878	7,550
SG&A	KRWm	(7,353)	(8,260)	(9,499)	(10,467)	(10,696)	(2,809)	(1,926)	(3,904)	(2,035)	(3,196)	(1,511)	(3,724)	(2,397)	(2,744)	(2,184)	(3,371)	(2,199)	(3,096)
Operating profit	KRWm	9,820	9,009	11,388	15,457	13,255	2,716	3,451	3,383	2,271	3,873	5,263	4,051	2,455	4,051	3,575	3,173	1,679	4,454
Finance income	KRWm	351	642	1,449	1,574	1,524	479	443	318	423	358	391	402	400	356	375	393	380	372
Finance costs	KRWm	(6)	(12)	(14)	(8)	(4)	(4)	(4)	(3)	(3)	(2)	(2)	(2)	(1)	(1)	(1)	(1)	(1)	(0)
Other income	KRWm	191	201	915	703	321	(49)	80	425	131	182	257	132	173	139	24	(16)	131	88
Other expenses	KRWm	(288)	(951)	(243)	(198)	(603)	(101)	(81)	(23)	(53)	(44)	(20)	(82)	(70)	(149)	(102)	(282)	(268)	(76)
Profit before tax	KRWm	10,067	8,890	13,494	17,527	14,492	3,041	3,889	4,100	2,770	4,367	5,889	4,502	2,958	4,395	3,871	3,267	1,921	4,838
Income tax expense	KRWm	(1,547)	(1,256)	(2,530)	(3,160)	(2,390)	(503)	(637)	(955)	(478)	(733)	(1,255)	(694)	(512)	(789)	(1,022)	(67)	(279)	(819)
Net profit	KRWm	8,520	7,633	10,964	14,367	12,102	2,538	3,251	3,145	2,292	3,634	4,634	3,807	2,446	3,606	2,849	3,200	1,642	4,019
Other comprehensive inc.	KRWm	42	374	(349)	(62)	(138)	(175)	-	(175)	(9)	(391)	(4)	342	(11)	(474)	(6)	353	(19)	390
Total comprehensive inc.	KRWm	8,562	8,007	10,615	14,305	11,964	2,363	3,251	2,970	2,283	3,242	4,630	4,149	2,435	3,133	2,843	3,553	1,623	4,409
KPIs																			
Sales YoY	%		7.9%	21.5%	13.6%	(8.4%)	6.2%	66.3%	11.6%	18.7%	22.4%	5.5%	10.6%	7.1%	(3.0%)	(15.8%)	(16.3%)	(20.9%)	13.9%
GPM	%	47.7%	44.5%	44.3%	48.4%	48.8%	44.8%	42.1%	43.9%	46.6%	46.9%	50.3%	49.1%	49.1%	46.4%	50.8%	49.4%	49.6%	45.3%
Δ yoY	%		(3.3%)	(0.2%)	4.1%	0.4%	(1.8%)	(3.4%)	2.0%	(0.9%)	2.0%	8.2%	5.2%	2.4%	(0.4%)	0.5%	0.2%	0.5%	(1.1%)
SG&A YoY	%		12.3%	15.0%	10.2%	2.2%	35.9%	22.2%	(1.9%)	9.4%	13.8%	(21.5%)	28.2%	17.8%	(14.2%)	44.5%	(9.5%)	(8.3%)	12.8%
SG&A % sales	%	(20.4%)	(21.3%)	(20.1%)	(19.5%)	(21.8%)	(22.8%)	(15.1%)	(20.3%)	(22.0%)	(21.2%)	(11.2%)	(23.5%)	(24.2%)	(18.8%)	(19.3%)	(25.4%)	(28.1%)	(18.6%)
OPM	%	27.3%	23.2%	24.1%	28.8%	27.0%	22.0%	27.0%	23.6%	24.6%	25.7%	39.1%	25.6%	24.8%	27.7%	31.5%	23.9%	21.5%	26.7%
Δ yoY	%		(4.1%)	0.9%	4.7%	(1.8%)	(6.7%)	2.1%	4.8%	1.0%	3.6%	12.0%	2.0%	0.2%	2.0%	(7.6%)	(1.7%)	(3.4%)	(1.0%)
Tax rate	%	(15.4%)	(14.1%)	(18.7%)	(18.0%)	(16.5%)	(16.5%)	(16.4%)	(23.3%)	(17.3%)	(16.8%)	(21.3%)	(15.4%)	(17.3%)	(17.9%)	(26.4%)	(2.1%)	(14.5%)	(16.9%)
NIM	%	23.7%	19.7%	23.2%	26.8%	24.6%	20.6%	25.5%	22.0%	24.8%	24.1%	34.4%	24.1%	24.7%	24.6%	25.1%	24.2%	21.0%	24.1%

ECE

Financials		Dec-21A	Dec-22A	Dec-23A	Dec-24A	Dec-25A
		12m/e	12m/e	12m/e	12m/e	12m/e
CFO	KRWm	-	8,573	11,555	16,698	12,783
Capex	KRWm	-	(1,157)	(19,225)	(814)	(315)
FCF	KRWm	-	7,416	(7,670)	15,884	12,468
OP	KRWm	9,820	9,009	11,388	15,457	13,255
NI	KRWm	8,520	7,633	10,964	14,367	12,102
% OP	%		82%	(67%)	103%	94%
% NI	%		97%	(70%)	111%	103%

Evidence for Korea budget air pocket

At zero EV the business screens cheap, but the claim it is being misunderstood rests heavily on the attribution of Truen's sharp revenue decline to the Korean budget air pocket stemming from the Dec 2024 martial law episode and associated budget reductions, rather than a structural weakening in the business. In other words, to temporary market shrinkage instead of Truen market share loss.

1 Sales declines entirely core domestic IP camera business

As seen in the segment sales breakdown above, in KRW terms more than 100% of Truen's entire sales decline flowed from the drop in the domestic IP camera business – the one segment exposed to the Korean budget issues. Strength in International camera IP as well as IoT suggests the business does not have an overall competitive issue.

2 Gross margin stability

Through the 2Q25-1Q26 period of revenue declines, Truen saw zero gross margin erosion, printing record 50.0% gross margin in 2H25. Businesses losing market share would typically show gross margin weakness as they reprice to defend share. Gross margin stability alone is not concrete evidence of market decline over share loss, but it does point to it in my view.

Financials		Jun-22A	Dec-22A	Jun-23A	Dec-23A	Jun-24A	Dec-24A	Jun-25A	Dec-25A	Jun-26A
		6m/e	6m/e	6m/e	6m/e	6m/e	6m/e	6m/e	6m/e	6m/e
<i>KPIs</i>										
Sales YoY	%			9.6%	32.1%	20.9%	8.2%	0.9%	(16.0%)	(0.2%)
GPM	%	45.8%	43.3%	45.9%	43.1%	46.8%	49.7%	47.5%	50.0%	46.7%
Δ yoy				0.1%	(0.2%)	0.9%	6.6%	0.7%	0.4%	(0.8%)
SG&A YoY	%			25.4%	6.5%	12.1%	8.4%	(1.7%)	6.1%	3.0%
SG&A % sales	%	(20.3%)	(22.1%)	(23.2%)	(17.8%)	(21.5%)	(17.9%)	(21.0%)	(22.6%)	(21.6%)
OPM		25.5%	21.2%	22.6%	25.2%	25.3%	31.8%	26.5%	27.4%	25.0%
Δ yoy				(2.8%)	4.1%	2.6%	6.6%	1.3%	(4.4%)	(1.5%)
Tax rate	%	(13.7%)	(14.5%)	(17.0%)	(19.9%)	(17.0%)	(18.8%)	(17.7%)	(15.3%)	(16.2%)
NIM		19.0%	20.3%	22.7%	23.6%	24.4%	28.8%	24.7%	24.6%	23.1%

3 Domestic SME competitor analysis shows similar revenue trends

A reasonable demand proxy for Truen's end markets exists in fellow Korean small cap Innodap (303530), a video surveillance software business which sells video managed software (VMS) to local government CCTV control centres. Innodap serves the same end market as Truen, at a different spot in the tech stack, with Truen supplying the edge hardware cameras, and Innodap supplying the management software the cameras plug into.

Innodap's revenues declined -18.5% in FY25 (compared to Truen's -8%), with Innodap explicitly calling out reduced public sector IT investment and delayed budget execution as the primary causes.

Looking forward: normal budget resumption + mandated smart camera overhaul

2026 saw a budget of KRW 728tn, +8% YoY, the first expansionary budget in four years. This should start to work its way through the fragmented municipality budgets over the course of this year and next. On top of the overall budget replenishment, in Truen's end market, following the Itaewon disaster in 2022, the Ministry of Interior pledged that 100% of municipality CCTV will be converted to intelligent by 2027. Converted to intelligent leaves wiggle room for edge AI or server side AI implementation, and it looks unlikely to be strictly enforced by the 2027 deadline as things stand, but it speaks to the longer term tailwind towards AI enhanced CCTV surveillance cameras and systems, which Truen builds.

Why now?

On 13th Aug the company printed its first sales growth in 5 quarters. The company should now be moving past the budget air pocket and seeing revenues reaccelerate. On top of this the business has rarely been cheaper (still slightly negative EV today), with ongoing repurchases.

Risks**Poor capital allocation – medium**

For a business trading below net cash, we would love them to spend the majority of their excess cash on share repurchases. As things stand currently the company is repurchasing at a rate of c3% per annum, a pace I think risks missing the capital allocation opportunity into their own shares today. My base case here is the company continue with small scale buybacks. It also raises the question what the

company are saving their cash balance for, and if M&A is a possibility. Most often M&A destroys value, and a large deal is a real risk to the thesis of the cash floor underwriting the equity value today.

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Value migration to software layer - medium

If AI analytics consolidate into a VMS/cloud layer that runs on any ONVIF stream, then on-camera edge AI's relevance and differentiation may diminish. In this world Truen risks being pushed toward being a commodity image capture vendor. Truen are looking to mitigate this by building their own inhouse software layer, while also betting that the role of edge AI vs server side AI will grow rather than shrink over time.

Budget flow through recovery stalls - low

It's possible the expectations for revenue reacceleration are misguided or derailed by further political instability.

Conclusion

This is a highly asymmetrical bet, where from today's negative enterprise value we're getting a reaccelerating, >30% RoIC niche operating business for free, with the downside floored by net cash and a ~7% annual distribution while we wait for the inflection. An undemanding 5x EV/EBIT (roughly 10x P/E) would return +100% from current price.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Revenue reacceleration over coming quarters.

Ongoing share repurchases.

Messages

Subject	questions
Entry	08/19/2026 06:38 AM
Member	TheDragonCowboy

A few things to be curious on

Do you have any harder evidence that the 2025/Q1 weakness was budget timing rather than TRUEN losing share?

On the Q2 rebound, do you know how much came specifically from domestic public-sector IP cameras?

How do you think about the risk that more AI analytics move to the server/VMS layer rather than the camera itself?

Any sense of what management actually intends to do with the excess cash? The buyback still looks pretty small versus the balance sheet.